State of New York
Public Service Commission

Case 25-E-0072: Proceeding on Motion of the Commission as to Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service.

Case 25-G-0073: Proceeding on Motion of the Commission as to Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

DIRECT TESTIMONY OF NEW YORK POWER AUTHORITY

GAS OPERATIONS PANEL

May 30, 2025

INTRODUCTION AND QUALIFICATIONS

Q. Members of the New York Power Authority Gas Operations Panel, please state your names and business address.

A. Our names are Fernando Granitto and James Lewandowski. Our business address is 123 Main Street, White Plains, New York 10601.

Q. By whom are you employed?

A. We are employed by the New York Power Authority ("NYPA").

Q. Mr. Granitto, please state your title, educational background, and professional experience.

A. My title is Senior Director, Power Trading. I have a bachelor's degree in electrical engineering from Manhattan College, and more than 32 years of experience in the utility business, 25 years of which have been in the Power Trading group. Over the last 25 years in the Power Trading sector, I have experience in managing hydro and fossil fuel generator assets in the New York Independent System Operator, Inc. ("NYISO") energy marketplace.

Q. Please briefly describe your current responsibilities at NYPA.

A. My responsibilities include overseeing the NYPA Power Trading Desk, which includes physical trading of energy and ancillary products; participating in the auctions for generation installed capacity and the Regional Greenhouse Gas Initiative ("RGGI"); maintaining and managing the zero emission credit ("ZEC") and renewable energy credit ("REC") position; the purchasing and securing of fuel for fossil fuel assets; and engaging with the NYISO regarding NYPA interests.

Q. Mr. Granitto, have you previously testified before the Public Service Commission (the "Commission")?

A. No.

Q. Mr. Lewandowski, please state your title, educational background, and professional experience.

A. My title at NYPA is Power Portfolio Trader. I earned a bachelor's degree in mathematics from SUNY Stony Brook and a Master's Degree of quantitative finance from Hofstra University. I have nine years of experience in the utilities sector with one year in risk management at National Grid and over eight years with NYPA in the Power Trading group. I have been working at NYPA as a Power Trader for the last four years as either a Realtime Trader or Power Portfolio Trader.

Q. Please briefly describe your current responsibilities at NYPA.

A. My current responsibilities are to manage the NYPA fossil fuel units in the NYISO day-ahead markets for Energy and Ancillary Services. I also assist in auctions for products such as RGGI, capacity and transmission congestion contracts, and working with the NYISO on inquiries and facilitating discussions to advance NYPA's interests.

Q. Mr. Lewandowski, have you previously testified before the Commission?

A. No.

BACKGROUND

Q. What is the purpose of the Panel's testimony in this proceeding?

A. The purpose of this Panel's testimony is to identify particular issues NYPA has experienced with its gas service from the Company due to operational flow orders

("OFOs"). From this, we hope to ensure more consistency in implementing, announcing, and terminating OFOs through gas system management and implementation of uniform policies and procedures. We hope the Commission will support greater transparency from the Company as a means to enforce the standard requirements.

Q. In your testimony, will you refer to, or otherwise rely upon, any information produced during the discovery phase of this proceeding?

A. Yes. We will refer to, and have relied upon, certain responses to Information Requests ("IR") produced during this proceeding. These responses are included in Exhibit __ (GOP-1) and Exhibit __ (GOP-2).

Q. Are you sponsoring any additional exhibits?

A. Yes.

Q. Please identify and describe these exhibits.

A. Exhibit __ (GOP-3) is the Company's Gas Sales and Transportation Operating Procedures Manual ("GTOP"). Exhibit __ (GOP-4) is the Gas Transportation and Balancing Service Agreement between the Company and NYPA, dated August 1, 2004. Exhibit __ (GOP-5) is a collection of email notifications of OFOs from the Company. Exhibit __ (GOP-6) is an email OFO notification from the Williams Companies.

Q. What is an operational flow order or OFO?

A. Pursuant to the Company's GTOP, an OFO "is an action taken by the Company to alleviate particular conditions that threaten the physical integrity of the Company's system, prevent a short-term interruption and to maintain operations required to provide efficient and reliable firm service." See Exhibit __ (GOP-3) at 78.

Q. What does an OFO mean in practical terms?

A. The specific effect of an OFO varies based on what type of OFO is issued and when it is received, but generally, the practical effect of an OFO is that the Company limits the availability of balancing gas services supplied by the Company to its customers with interruptible service. The Company creates a lower and/or upper band limiting usage to within a certain percentage from the customers' scheduled gas deliveries, also known as gas nominations.

Q. What are the different types of OFOs?

A. First, there are hourly OFOs. An hourly OFO sets a fixed amount of gas that a consumer, such as NYPA, may use per hour based on its total daily gas nomination with the local distribution company, in this case the Company. For example, under a $1/24^{th}$ rule, if the total daily gas nomination is 24,000 dth, the hourly burn limit is 1,000 dth.

Second, there are over-burn OFOs which limit NYPA to a fixed percentage not to be exceeded over its gas nomination. Generators cannot exceed a specified fixed percentage above their daily gas nomination. Over-burn OFOs often cause an increase in demand and can cause market prices to rise as generator strategy is adjusted to include risk premiums to offset the cost of under-utilized gas purchased to manage the OFO.

The third category, an under-burn OFO, limits the quantity of unused gas the generator can leave in the pipeline. The generator must keep unused gas within the fixed percentage of the daily gas nomination. Third, under-burn OFOs will cause generators to limit the quantity of gas purchased to avoid the risk of not utilizing the gas nomination within the tolerance of the OFO and not be in violation. This will result in inefficiency

and higher operational costs as the generator will manage usage of excess gas through the balancing agreement over-burn tiers, which usually include a premium on the price of gas above the index.

The final category is a banded OFO, which imposes both over-burn and under-burn fixed limits, requiring adherence to a specific fixed percentage of burning additional gas either above or below the total daily nomination. Banded OFOs severely restrict the deviation from the total daily gas nomination. As a result, to avoid violation of the banded OFO restrictions on gas usage, a revised bid strategy is utilized to minimize risk exposure. This can ensure more predicable burns but may result in missed revenue opportunities and increased operational costs. While switching to oil at dual-fuel units is not always necessary, it may be considered based on gas capacity. In addition, the generator may be unable to use the balancing agreement with the Company, which can result in higher costs if the plants cannot balance their gas usage effectively.

Q. Why would the declaration of an OFO from the Company impact NYPA?

A. NYPA has interruptible gas delivery service from the Company. Accordingly, every time an OFO is ordered by the Company it imposes restrictions on NYPA's use of gas.

Q. What is interruptible gas delivery service?

A. Interruptible gas delivery service is a type of natural gas service agreement in which the gas delivery may be interrupted or curtailed under certain conditions specified in the agreement.

Q. Why does NYPA purchase natural gas delivery?

A. NYPA owns or oversees on behalf of its customers eight generation facilities that use natural gas delivered by the Company pipeline system. They are: Astoria Energy II, a dual-fuel, gas/oil facility located in Queens with a nameplate of 660.0 MW generation capacity[1]; Eugene W. Zeltmann Power Project, a dual-fuel facility located in Queens with a nameplate of 576.0 MW generation capacity; Harlem River Yards 1 & 2, located in the Bronx, with a total nameplate capacity of 79.9 MW; Hell Gate 1 & 2, located in the Bronx, with a total nameplate capacity of 79.9 MW; and Vernon Boulevard 1 & 2, located in Queens, with a total nameplate capacity of 79.9 MW.

Q. Why doesn't NYPA pay for non-interruptible gas delivery service?

A. Non-interruptible, or firm, service is cost prohibitive for our needs. NYPA uses the fuel to generate electricity and sells the electricity on the wholesale electricity markets, administered by the NYISO. If we were to use firm service, the higher delivery cost would need to be added to our bids into the NYISO markets. Not only would these costs be so high as to prevent us from winning any bids, but as the current bidding model limits what a generator can recover or represent for fuel costs, the costs would be so high that they would prevent us from even entering the NYISO auction. The result would be unacceptable for operation of a generation unit—in fact, there are no power generators in New York City that pay for firm gas service.

Q. What causes the Company to order an OFO?

[1] NYPA oversees Astoria Energy II on behalf of its customer. The scope of NYPA's services includes fuel management.

A. Any imbalance in gas supply and demand may cause the Company to call an OFO. This mostly occurs when the interstate pipeline from which the Company receives gas must declare an OFO and limit its customers' gas supply. The Company, as one of the interstate pipeline's customers, then has limited gas supply.

Q. How often does the Company order OFOs?

A. Frequently. In 2024, the Company issued 31 OFOs.

Q. Has the prevalence of OFOs ordered increased in recent years?

A. Yes.

Q. Please explain.

A. In 2020, 35 OFOs were issued by the Company, followed by 37 in 2021, 56 in 2022, 28 in 2023, and 31 in 2024. IR Response to NYPA Set 2 Question 8, Exhibit __ (GOP-1) at 5.

Q. Is it fair to say that the amount of OFOs ordered by the Company were actually reduced from 2022 to 2024?

A. Yes, that's correct, but the average *duration* of each OFO has increased. In fact, OFOs now last so long, that almost all natural gas delivery service provided by the Company in 2024 was under an OFO.

Q. Do you have documentation of the duration of OFOs ordered by the Company?

A. Yes. According to the Company, the average OFO duration in 2020 was 8 days. The average duration was 5 days in 2021, 4 days in 2022, 9 days in 2023, and 12 days in 2024. IR Response to NYPA Set 2 Question 9, Exhibit __ (GOP-1) at 6.

Q. When does the Company notify NYPA that it ordered an OFO?

A. It depends. The Company relies upon a human operator who is on duty at their gas control desk. The Company aims to provide at least 24 hours' notice for an OFO, but "could provide less notice" when necessary. IR Response to NYPA Set 2 Question 6, Exhibit __ (GOP-1) at 3. If the OFO is preceded by a System Alert ("SA"), there "should be a minimum of 8 hours' notice" when the SA is changed to an OFO. IR Response to NYPA Set 2 Question 6, Exhibit __ (GOP-1) at 3; see also GTOP Sec. VI.B, Exhibit __ (GOP-3) at 78. According to the Company, OFO notices are provided immediately following the Company's decision to declare the OFO. IR Response to NYPA Set 6 Question 22, Exhibit __ (GOP-2) at 2.

Q. How does the Company notify NYPA that it ordered an OFO?

A. Unlike other load-serving entities, the Company does not use automated communication systems to provide OFO notices. IR Response to NYPA Set 6 Question 26, Exhibit __ (GOP-2) at 6. Instead, we receive an email from one of the Company's gas system operators on behalf of the Company's Gas Control Desk advising that an OFO has been ordered. The Company does not confirm customer receipt of OFO notifications. IR Response to NYPA Set 6 Question 25, Exhibit __ (GOP-2) at 5.

The Company also posts OFO and SA announcements to its Transportation Customer Information System website. IR Response to NYPA Set 6 Question 24, Exhibit __ (GOP-2) at 4.

Q. Are you aware of any policies, procedures, or other rules that the Company follows that dictate when and how the Company orders an OFO?

A. Yes. As the Company states in IR Response to NYPA Set 6 Question 21, Exhibit __ (GOP-2) at 1, it relies on the notice requirements in the Company's GTOP, which are as follows:

> *1. The OFO notice shall meet minimum time requirements to designated Marketer or Direct Customer personnel and shall provide as much advance notice as possible. The date and time of issuance, date and time the OFO takes effect, and the estimated duration shall be included in the OFO notice.*
>
> *2. The OFO notice shall state whether the condition is related to over-deliveries or under-deliveries and if there are any specific parameters included.*
>
> *3. The OFO notice should communicate clearly, to designated Marketer or Direct Customer personnel, the actions required, as well as the reason for the required actions, and provide periodic update to enable parties to continue their planning functions.*
>
> *4. Actions required by the OFO should be limited both in duration and scope to meet the required objective.*
>
> > *(a) The required actions should be as localized as possible.*
> >
> > *(b) The OFO should be applied on a nondiscriminatory basis to all similarly situated parties.*
> >
> > *(c) The Company shall respond to reasonable requests for information by parties within a reasonable time after the OFO event.*
> >
> > *(d) The OFO shall not be used to mitigate economic disparities.*

(e) The Company shall notify the Director of the Office of Gas and Water of the Department of Public Service when an OFO is declared and when the situation returns to normal.

Failure of the Company to adhere to one or more of the above guidelines is not a basis for Marketers or Direct Customers not to comply with requirements of the OFO but may provide the basis for a complaint to the Commission regarding the Company's behavior.

GTOP, Exhibit __ (GOP-3) at 78-79.

Q. From your experience, does the Company fulfill its obligations to provide NYPA with adequate notice of an ordered OFO?

A. The Company has been inconsistent with its timing and does not always give 24 hours' notice before an OFO will go into effect.

A complicating factor is that the gas trading day for the following day starts at 10 a.m., which means that NYPA and other electric generators begin to acquire natural gas supply for the following day at that time. If an OFO notification for the following gas day is received after 10 a.m., as happens often, NYPA will have already begun purchasing natural gas supply that is supposed to be delivered for the gas trading day impacted by the OFO. At times we even receive OFOs pertaining to the same gas day. The Company states that its rationale for providing a 24-hour notice period is to "provide[] time for customers to adjust nominations," IR Response to NYPA Set 6 Question 21, Exhibit __ (GOP-2) at 1, but this amount of time is rarely sufficient—ideally, we would receive

notice of an OFO not just 24 hours before the OFO will go into effect, but instead 24 hours *before the start of the gas trading day that will be affected by the OFO*. Notably, there does not appear to be any Company review of OFO notifications to ensure compliance with the policies and provided in the GTOP. Instead, according to the Company, all OFO notices are provided to the Commission and "previous winter activity is subject to review in our annual winter preparedness discussions" with the Commission. IR Response to NYPA Set 6 Question 23, Exhibit __ (GOP-2) at 3.

Q. When an OFO is ordered, does the Company provide you with an explanation of why it was ordered?

A. Yes, the Company's GTOP requires it to explain why an OFO was ordered, but the OFOs issued to us generally provide only a perfunctory explanation, such as "pipeline restrictions."

Q. Can you provide any examples?

A. Yes, Exhibit __ (GOP-5) consists of three email notifications of OFO orders where the only explanation given was "pipeline restrictions."

Q. Does the Company provide any additional information regarding the conditions that support the OFO declaration?

A. No. We have called their gas operators and have received little additional information. The Company appears unwilling or unable to provide specific detail regarding the causes of its frequent OFOs: in responses to NYPA IRs regarding these causes, the Company repeatedly responds with some variation of the generic language in the GTOP, stating that the OFOs were caused by the Company's need to protect "the physical integrity of

the Company's system, prevent a short-term interruption and to maintain operations required to provide efficient and reliable firm service." IR Response to NYPA Set 2 Question 5, Exhibit __ (GOP-1) at 1-2; IR Response to NYPA Set 2 Question 6, Exhibit __ (GOP-1) at 3; IR Response to NYPA Set 2 Question 8, Exhibit __ (GOP-1) at 5; IR Response to NYPA Set 2 Question 9, Exhibit __ (GOP-1) at 6; IR Response to NYPA Set 6 Question 27, Exhibit __ (GOP-2) at 7; IR Response to NYPA Set 6 Question 28, Exhibit __ (GOP-2) at 9; IR Response to NYPA Set 6 Question 29, Exhibit __ (GOP-2) at 10.

Q. Who at NYPA receives the declaration of an OFO?

A. An employee on duty at our Power Trading Desk.

Q. Are the members of this Panel individuals who receive such notices of OFOs from the Company?

A. Yes.

Q. What do you do when you receive notice of an OFO from the Company?

A. Our response depends on many factors. First, we need to take into consideration the amount of time the notice provided. The more time we have, the better we can prepare or make adjustments. In response, we have to see how much the limitations on gas usage from the OFO will impact our electricity generation operations. Second, we need to factor any pricing changes of the natural gas. Depending on what type of OFO is issued and when the notice is received, we may need to sell gas already purchased or purchase additional gas at a premium. Our dual-fuel facilities may need to switch to an alternative

fuel if we cannot obtain enough gas to satisfy our needs, or if the price is too high, making our bid into the NYISO markets non-competitive.

Q. If an OFO is called, do you switch fuels at your two dual-fuel generation facilities that are connected to the Company's distribution system, from natural gas to oil?

A. Not all of the time, but sometimes, yes. Hourly OFOs are the most likely to cause our dual-fuel facilities to switch fuels because these can make the price of gas non-competitive or prevent us from obtaining enough natural gas to satisfy our customers' generation needs. This is most likely to occur during periods of high demand.

Q. Are you aware of the difference in costs to your customers or bids into the NYISO markets when an OFO is ordered by the Company?

A. Each OFO affects the cost to customers differently, but they can cause sharp increases in customers' energy costs because the premiums included in the bids to the NYISO markets get pushed to the end consumer.

Q. Does an OFO change NYPA's bidding strategy?

A. Yes, OFOs can change NYPA's bidding strategy and are more likely to do so during periods of high demand for natural gas.

Q. When you switch fuels, from natural gas to oil, does it impact your efficiency?

A. Yes, switching from gas to oil has a significant effect on the heat rate (that is, the efficiency of converting fuel to energy) of our dual-fuel facilities. For example, the average heat rates of the Astoria Energy II and Zeltmann facilities increase from 7.5 Btu/kWh to 8.5 Btu/kWh when they switch from gas to oil. The higher the heat rate, the less efficient the generator is performing.

Q. What could assist NYPA in alleviating some of the impacts resulting from an OFO?

A. We understand that OFOs need to be called for gas reliability purposes. We also understand we have interruptible gas delivery service. However, if we are given more notice, we can better prepare for interruptions. With adequate additional notice, we may be able to reduce our gas needs, secure gas supply on alternative pipelines before capacity becomes limited, or obtain oil as an alternative fuel. Accordingly, while the Company should strive to meet its obligation to provide at least 24 hours' notice, it would be even more helpful if the 24-hour notice period were for the 24 hours preceding the affected gas *trading* day, rather than the gas *operating* day.

Q. Is there an example you could provide where you think the Company could have provided you with additional notice, and if it did, you would have been in a better situation?

A. Yes, on President's Day weekend of this year, 2025. At 12:01 p.m. Friday, February 14, the Company issued an Under-Burn OFO that was set to begin in 22 hours, on February 15 at 10:00 a.m. This OFO did not specify an end time for this restriction. There was already an Over-Burn OFO in effect at this time, which had been in effect since January 19, 2025. At 9:33 a.m. on Monday, February 17, the Company issued an hourly limitation OFO (120% rate) set to begin in under 18.5 hours, on Tuesday, February 18 at 4:00 a.m. and continue through 10:00 a.m. on February 18. At 8:59 a.m. on Tuesday, February 18, the Company issued an hourly limitation OFO (120% rate) set to begin in approximately 19 hours, on Wednesday, February 19 at 4:00 a.m. and continue through 10:00 a.m. on February 19. See IR Response to NYPA Set 6 Question 27, Exhibit __ (GOP-2) at 7.

The effect of these OFOs was that we had to switch from gas to oil at both of our dual-fuel facilities.

Q. Do you have the emails notifying you of the Company's OFO from February 15, February 18, and February 19, 2025?

A. Yes, they are compiled in Exhibit __ (GOP-5).

Q. What reasoning did the Company provide for issuing these OFOs?

A. The reasoning was the same for all three OFOs: "Pipeline Restrictions." The Company did not provide additional details at the time. See Exhibit __ (GOP-5) at 1-3. When NYPA sought additional information regarding these OFOs through our IRs, the Company responded only that they were necessary to "maintain the physical integrity of the Company's system, to prevent a short-term interruption, and to maintain operations required to provide efficient and reliable firm service." IR Response to NYPA Set 6 Question 27, Exhibit __ (GOP-2) at 7.

Q. Did the company provide a reason as to why it failed to provide the 24 hours' notice required by the GTOP?

A. No.

Q. If the Company provided you additional notice, would that have changed your situation?

A. Yes, as NYPA had already purchased its gas for the impacted gas day. With more notice, NYPA could have evaluated a wider range of gas purchasing options of the strip, daily gas or optimizing on the intra-day coupled with NYISO market bidding options taking into consideration the OFO restrictions.

Q. Do you have reason to believe the Company could have provided additional notice in this situation?

A. Yes, based on the communications of the Transcontinental Gas Pipe Line ("Transco"), the interstate pipeline owned by the Williams Companies ("Williams"). Transco is the pipeline that supplies the Company with natural gas, so when Transco's supply is restricted and it orders an OFO, it is likely that the Company's supply will be restricted and it will need to order an OFO. We are aware that at 10:30 a.m. on Friday, February 14, 2025, Transco issued an OFO set to begin on Saturday February 15, 2025. Exhibit __ (GOP-6). As NYPA cannot be certain of how the Company will react to a restriction from Transco, however, NYPA cannot necessarily act based on Transco's OFOs alone. If the Company were more responsive and communicative, NYPA would be better able to adjust its activities.

Q. How did you learn of the Transco OFO notice issued on Friday, February 14?

A. Transco posts its OFOs online when they are issued, and NYPA receives email notifications of Transco's OFOs. Email notice of the OFO issued on February 14 is attached as Exhibit __ (GOP-6).

Q. If the Company is aware that its balancing is hindered by restrictions placed by Transco, do you know why the Company fails in these situations to immediately notify NYPA of its need to restrict NYPA's supply?

A. No. In IR Response to NYPA Set 6 Question 27, the Company conceded that it became aware of Transco's OFO at 9:59 a.m. on Thursday, February 13 and that Transco's OFO was "a factor" in issuing its own OFO. Exhibit __ (GOP-2) at 7.

Q. Do you have a recommendation as to how the Company can improve its OFO notices to customers?

A. Yes. The company should strive to meet its obligation to provide at least 24 hours' notice. More importantly, the 24-hour notice period should be for the 24 hours preceding the affected gas *trading* day, rather than before the gas *operating* day. Finally, the Company should be required to provide more detail on its reasons for declaring OFOs and not merely perfunctory explanations which we receive currently. Detailed explanations could provide customers with insight into why OFOs are being called and enable them to understand when OFOs may be issued going forward.

Q. Does this conclude this Panel's testimony?

A. Yes.